
Research Data Note

Subject :NPS Rules, Withdrawals,
and Comparison with UPS

Overview

The **National Pension System (NPS)** is a long-term retirement savings scheme in India designed to help individuals build financial security after retirement. It is regulated by the **Pension Fund Regulatory and Development Authority (PFRDA)** and managed through the **National Pension System Trust**.

NPS allows subscribers to contribute regularly during their working years and accumulate a retirement corpus invested across multiple asset classes such as equity, corporate bonds, and government securities.

In recent years, regulatory updates have introduced more flexibility in withdrawal rules, retirement planning options, and investment tenure.

Key NPS Rules

Eligibility

- Any **Indian citizen aged 18–70 years** can open an NPS account.
- Available to **salaried employees, self-employed individuals, and government employees**.
- Subscribers must maintain a **Tier-I account** (primary retirement account).

Investment Structure

NPS investments are diversified across:

- EquityCorporate
- Bonds
- Government Securities

Subscribers may:

- Choose their own asset allocation, or
- Use **automatic lifecycle allocation** based on age.

NPS Exit and Withdrawal Rules (2026 Reform)

In **December 2025**, new withdrawal rules were introduced by the **Pension Fund Regulatory and Development Authority**.

Lump Sum Withdrawal

- Subscribers can withdraw **up to 80% of their corpus as a lump sum** at retirement.

Mandatory Annuity

- A minimum **20% of the corpus must be used to purchase an annuity**, which provides periodic pension income.

Corpus-Based Withdrawal Structure

Pension Corpus	Withdrawal Rule
Up to ₹8 lakh	100% lump sum withdrawal allowed
₹8–12 lakh	Up to ₹6 lakh lump sum; remaining through annuity or structured withdrawal
Above ₹12 lakh	80% lump sum + 20% annuity

Extended Investment Period

- Minimum participation period reduced to **15 years**.
- Subscribers can remain invested **up to age 85**.

Partial Withdrawal Rules in NPS

Partial withdrawal allows subscribers to withdraw a portion of their pension corpus **without closing their NPS account**.

Eligibility for Partial Withdrawal

Subscribers are eligible if:

- They have been an NPS subscriber for **at least 3 years** from the date of joining.
- The withdrawal may also be used to settle **financial obligations linked to the pension account**.

Frequency and Limits

Before Age 60 / Superannuation

- Maximum **4 partial withdrawals** allowed.
- Each withdrawal can be **up to 25% of the subscriber's own contributions**.
- A **minimum gap of 4 years** must exist between withdrawals.

After Age 60 / Superannuation

If the subscriber continues investing after age 60:

- Partial withdrawals can still be made.
- A **minimum gap of 3 years** is required between withdrawals.

Valid Reasons for Partial Withdrawal

Partial withdrawal is allowed only under specific conditions:

1. Higher education of children (including adopted children)
2. Marriage of children
3. Purchase or construction of a residential house
 - Allowed only if the subscriber does **not already own a house**, except ancestral property
4. Medical treatment or hospitalization of:
 - Subscriber
 - Spouse
 - Children
 - Parents
5. Medical expenses related to disability or incapacitation
6. Settlement of loans taken from regulated financial institutions where a lien is placed on the pension account

Withdrawal Process

To request a withdrawal:

1. The subscriber submits a **withdrawal request to the Point of Presence (POP) or Nodal Office**.
2. Relevant documents must be provided.
3. The request is processed through the **Central Recordkeeping Agency (CRA)** system according to regulatory guidelines.

If the subscriber is seriously ill, **family members may submit the withdrawal request on their behalf**.

Withdrawal from Tier-II Account

NPS also provides a **Tier-II voluntary savings account**..

Rules include:

- Funds can be withdrawn **fully or partially at any time**.
- No withdrawal limits apply as long as sufficient balance remains to cover applicable charges.
- **Tier-II account closes automatically when the Tier-I account is closed.**

Tier-II Tax Saver Scheme Rules

For **central government employees**:

- Tier-II Tax Saver Scheme withdrawals are **not allowed before the lock-in period ends**.
- Early withdrawal is allowed **only in case of death**

Comparison: NPS vs UPS

Aspect	NPS	UPS
Type	Market-linked investment	Government assured pension
Risk	Moderate	Very low
Returns	Depends on market	Fixed pension
Flexibility	Choose investments	No investment choice

Best For

Long-term
growth

Stable
retirement
income

Key Insight

- **NPS** suits individuals who want long-term growth.
- **UPS** suits individuals who prefer predictable retirement income.

Tax Treatment

Contributions

Tax benefits include:

- Deduction under **Section 80CCD(1)** within ₹1.5 lakh limit under Section 80C.
- Additional **₹50,000 deduction under Section 80CCD(1B)**.
- Employer contribution deduction under **Section 80CCD(2)**.

Withdrawals

- **60% of the corpus is tax-free** at retirement.
- **Remaining 40% used for annuity.**
- Pension received from annuity is **taxable income**

Frequently Asked Questions

Can I invest in both NPS and UPS?

UPS is available only for eligible government employees. Others primarily invest in NPS.

Are NPS returns guaranteed?

No. Returns depend on market performance.

Is UPS safer than NPS?

UPS offers stable pension income but lower investment flexibility.

Sources

- Pension Fund Regulatory and Development Authority
- National Pension System Trust official withdrawal guidelines
- <https://www.npskra.nsdl.co.in>
- <https://www.proteantech.in/articles/lump-sum-revolution-with-nps/>

Purpose of the Research Note:

This document is prepared as a **policy knowledge dataset for the AI Pension Guidance System** to ensure accurate explanations of pension rules, withdrawal policies, and regulatory compliance.